



ILLUSTRATION BY RAJ VERMA

is 30%, and that is not likely to rise; to fund growth, the economy needs to draw in capital from outside the country. With this capital also comes technology access. In recent years, however, the trend has been in the other direction. To attract FDI, the new playbook should seek to offer investors a clear pathway to value creation, in the form of predictable and effective regulatory frameworks and legal structures.

Foster competitiveness in manufacturing and innovation in future growth arenas. Manufacturing policy has been strongly pro-business. New infrastructure has improved supply-chain efficiency. Led by electronics, pharmaceuticals, automotive components, and chemicals, India is on track to double manufactured goods exports to \$1 trillion by 2030. The new playbook calls for emphasising productivity and return on capital in high-potential sectors.

The McKinsey Global Institute

(MGI) recently named 18 “arenas of competition” it considered most likely to drive growth: EVs, semiconductors, space, artificial intelligence (AI), batteries, robotics, nuclear fission, etc. MGI projects that these arenas could account for up to \$48 trillion in global revenues and \$6 trillion in profits by 2040. By unwinding restrictive product-market barriers and facilitating FDI, India could build on its strong position in some of these sectors. At the same time, it could work with strategic investors in others both to scale up and to foster the development of a network of domestic small- and medium-sized suppliers.

Match education and skills development to job creation. By 2047, 20% of the world’s working age population will live in India. India today accounts for 16% of the global AI talent pool. We can be the talent factory for the world.

The new playbook calls for skilling that can co-exist with the

advances of AI such as agentic AI in transaction-processing and call-centres, humanoid AI robots in factories, and software coding co-pilots. Skilling will require public-private cooperation in curriculum development. Finally, as India grows and prospers, there is a need to ensure competence and availability in many vocational areas, such as nursing, construction, and the trades.

The geopolitical environment is volatile, and some reconfiguration of global trade patterns is likely. India could benefit from these shifts, but this is not a sure thing. Indeed, it is impossible to predict how matters will play out next week, much less over the long term. And that is the point: today’s uncertainty makes it all the more important that India craft a new economic playbook that can enable the sustainable and inclusive growth we need—however the future unfolds. **BT**

Views are personal